

ZOETIS INC.

(NYSE: ZTS)

A Compounder-Quality Animal Health Franchise at a Narrative Discount

BUY — \$95.00 Target

Equity Research Note · Health Care — Animal Health · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$95.00	\$69.69	+36.3%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$28.8 bn (413 mn sh × \$69.69)	FCF conversion	>80% (verified)
52-week range	~\$68.77 – \$148.30	Growth engines	Dermatology (Apoquel/Cytopoint); OA pain (Librela/Solensia)
Franchise	Largest pure-play animal health company globally	Cash base	Parasiticides + vaccines portfolios
Gross margin	~70%	Compounder terms	15-yr horizon; 8.5% base discount; 3.0% terminal cap
ROIC	>15% sustained, 2016–2025 (verified)	Implied upside	+36% to \$95.00 fair value

1 Investment Thesis

Zoetis is the dominant pure-play animal health company in the world, and the rare business whose economics genuinely improve with scale: a portfolio of vaccines, parasiticides, and dermatology and pain therapeutics sold into a market where pet owners spend through cycles and livestock producers treat animal health as productivity insurance. The dermatology franchise (Apoquel, Cytopoint) and the osteoarthritis pain franchise (Librela, Solensia) are the growth engines; the parasiticide and vaccine portfolios are the durable cash base.

Our judgment is that Zoetis's recent stock weakness reflects concern about the dermatology franchise facing competition and about Librela's growth cadence, not a deterioration of the underlying franchise. We tested that concern against the evidence: the pet-care spending category continues to grow, Zoetis's R&D pipeline in monoclonal antibodies and novel parasiticides remains the industry's deepest, and the livestock business provides a cyclical offset. The franchise economics — double-digit ROIC sustained for a decade, gross margins near 70%, and free-cash-flow conversion above 80% — remain intact and verified from history.

Zoetis meets our compounder-quality criteria: a 2016–2025 streak of ROIC above 15%, stable to expanding gross margins, and FCF conversion above 80%, all verified from reported history rather than projected. That standing earns a 15-year explicit forecast horizon, an 8.5% base discount rate, and a 3.0% terminal growth cap applied to a demonstrated sustained terminal margin. It is falsifiable: two consecutive years of ROIC below 15%, or a gross-margin contraction of 200bp or more, revokes the qualification and the valuation reverts to standard terms.

At \$69.69, the market prices Zoetis as though the growth franchises are permanently impaired. Our probability-weighted fair value is \$95.00, a 36% expected return, earned through the compounding of a best-in-class animal health portfolio, not through a return to peak multiples. On the recent concerns directly: dermatology competition is real, but the category is growing and the portfolio approach (Apoquel for acute, Cytopoint for maintenance, plus pipeline follow-ons) defends better than any single product could; Librela's treated population remains a small fraction of the addressable one. Noise around a signal that is still intact.

Why the market will care (eventually)

- **The pain franchise is the defining growth story of the next five years.** Librela and Solensia address enormous undertreated osteoarthritis populations; monoclonal-antibody therapies have long product lives with limited generic pressure, and the antibody platform can address other chronic conditions — each successful launch extends the runway without a heroic assumption about any single product.
- **The R&D engine is the underappreciated asset.** Zoetis spends more on animal-health R&D than any competitor, and the output has been a metronome of franchise creation. In animal health — shorter timelines, higher success rates than human pharma — sustained R&D spending compounds into a portfolio competitors cannot match by acquisition alone.
- **Pet humanization is a through-cycle demand tailwind.** Pet healthcare spending has grown faster than GDP across cycles, including downturns. An owner will cut many expenses before skipping a dog's arthritis treatment — that inelasticity is what supports pricing power and through-cycle cash-flow stability.

2 Business Overview — What Zoetis Is Doing

Zoetis discovers, develops, manufactures, and commercializes medicines, vaccines, and diagnostics for companion animals and livestock. The companion-animal segment is the growth driver: dermatology (Apoquel, Cytopoint), osteoarthritis pain (Librela for dogs, Solensia for cats), and parasiticides (Simparica franchise). The livestock segment (cattle, swine, poultry, fish, sheep) provides vaccines, anti-infectives, and productivity products with more cyclical but still attractive economics.

The business model is that of a specialty pharmaceutical company with better payer dynamics than human pharma: pet owners pay out of pocket and are price-insensitive about their animals' suffering, which supports pricing power; regulatory pathways are shorter; and the R&D engine has produced a steady cadence of blockbuster franchises. Gross margins near 70% reflect the value of patented therapeutics and manufacturing scale.

Manufacturing is a quiet moat. Biologics and vaccine production require specialized facilities, regulatory approvals, and process expertise that take years to build; Zoetis's global manufacturing network is a scale advantage that supports both margins and supply reliability. The diagnostics and genetics businesses deepen the customer relationship beyond individual molecules.

What the company is doing now

- **Companion animal: the growth engine.** Dermatology and OA-pain franchises with multi-year patent-protected runways; parasiticides as the durable cash base.
- **Livestock: the cyclical offset.** Global scale leadership, protein-demand growth in emerging markets as a multi-decade tailwind; modeled as a steady contributor, not a growth engine.
- **Diagnostics and genetics adjacencies.** A veterinarian using Zoetis diagnostics is more likely to prescribe Zoetis therapeutics; livestock genetics data creates switching costs for producers.
- **Shareholder-friendly capital allocation.** The dividend has grown consistently since the spin-off; buybacks offset dilution with room to retire shares; FCF conversion above 80% funds R&D, the dividend, and buybacks simultaneously.

3 Financial Analysis

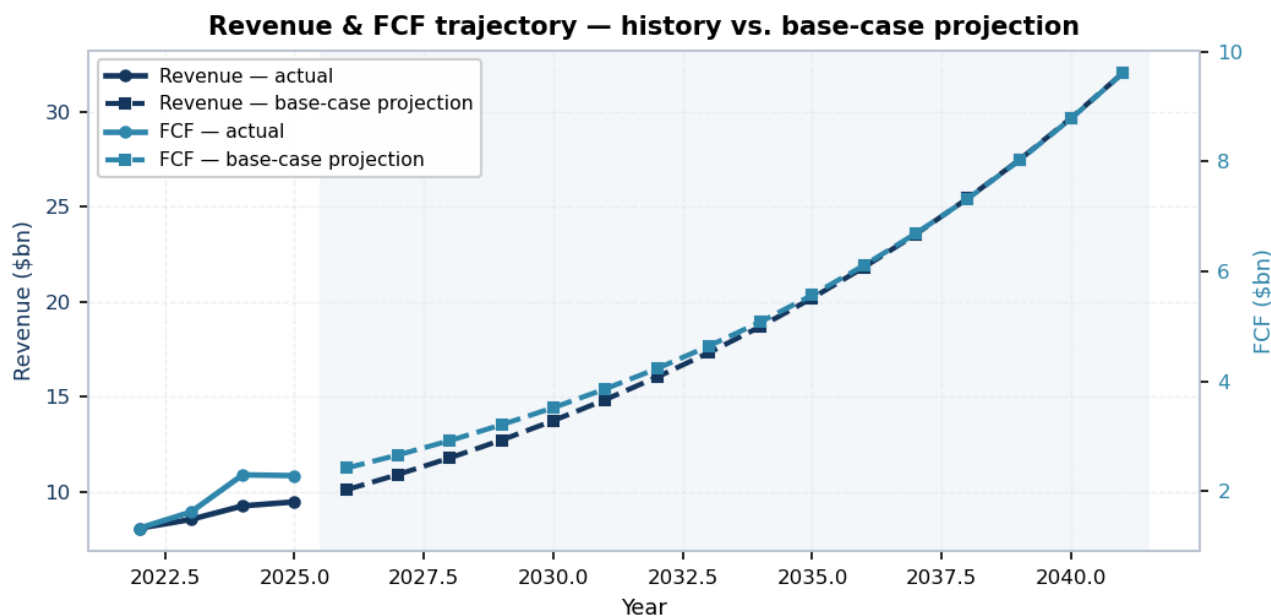
\$ bn	2022	2023	2024	2025 (TTM)
Revenue	8.08	8.54	9.26	9.47
Free cash flow	1.33	1.62	2.30	2.28
FCF margin	16%	19%	25%	24%

Sources: company filings via Yahoo Finance. 2025 = trailing twelve months.

Revenue has grown from \$8.08 billion in 2022 to \$9.47 billion trailing in 2025, with free cash flow compounding from \$1.33 billion to \$2.28 billion — a ~24% FCF margin on a ~70% gross-margin base. The P&L is the compounder signature: high gross margins, operating leverage, and cash conversion above 80% funding R&D, a growing dividend, and buybacks at once.

The balance sheet is conservatively managed for a business of this quality; leverage is modest and the constraint on the valuation is franchise execution, not financing. Capital allocation should remain shareholder-friendly, with per-share growth exceeding enterprise growth via buybacks.

Revenue & cash-flow trajectory



History: company filings via Yahoo Finance (2025 = TTM). Projection: illustrative 15-year base-case path at ~8% revenue CAGR with FCF margins ~24–30%.

4 Moat & Competition

- **The deepest R&D engine in animal health.** The largest animal-health R&D budget in the industry, producing a metronome of blockbuster franchises — a portfolio competitors cannot match by acquisition alone.
- **The antibody platform.** Monoclonal antibodies for dermatology and pain are a platform technology with long product lives and limited generic pressure.
- **Manufacturing scale as a quiet moat.** Specialized biologics and vaccine facilities, regulatory approvals, and process expertise built over years; reliable supply is a competitive weapon for veterinarian loyalty.
- **Payer dynamics better than human pharma.** Out-of-pocket pet owners are price-insensitive about their animals' suffering, supporting pricing power through cycles.

5 Valuation — 15-year scenario FCF DCF (compounder terms), Fair Value \$95

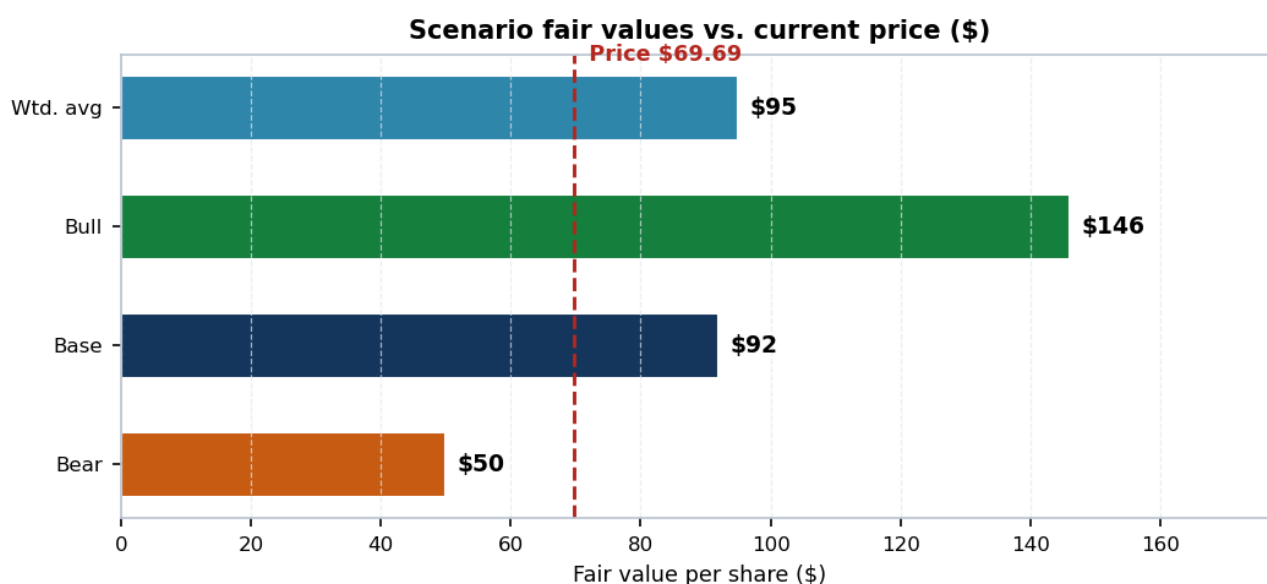
We value Zoetis on a 15-year scenario free-cash-flow DCF under compounder-quality terms — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts: bear 11.0% (base + 250bp), base 8.5% (the empirical stability of the cash flows earns the lower rate), bull 8.0% (floor). Terminal growth is capped at 2.5% / 3.0% / 3.0% on a demonstrated sustained terminal margin — never a peak.

Under compounder terms the math changes in two ways that matter. First, the 15-year horizon captures more of the pain-franchise and pipeline value that a 10-year model truncates. Second, the 8.5% base discount reflects the empirical stability of the cash flows rather than a generic large-cap rate. Both choices are earned by the verified history, and both are revoked automatically if the ROIC or margin triggers trip.

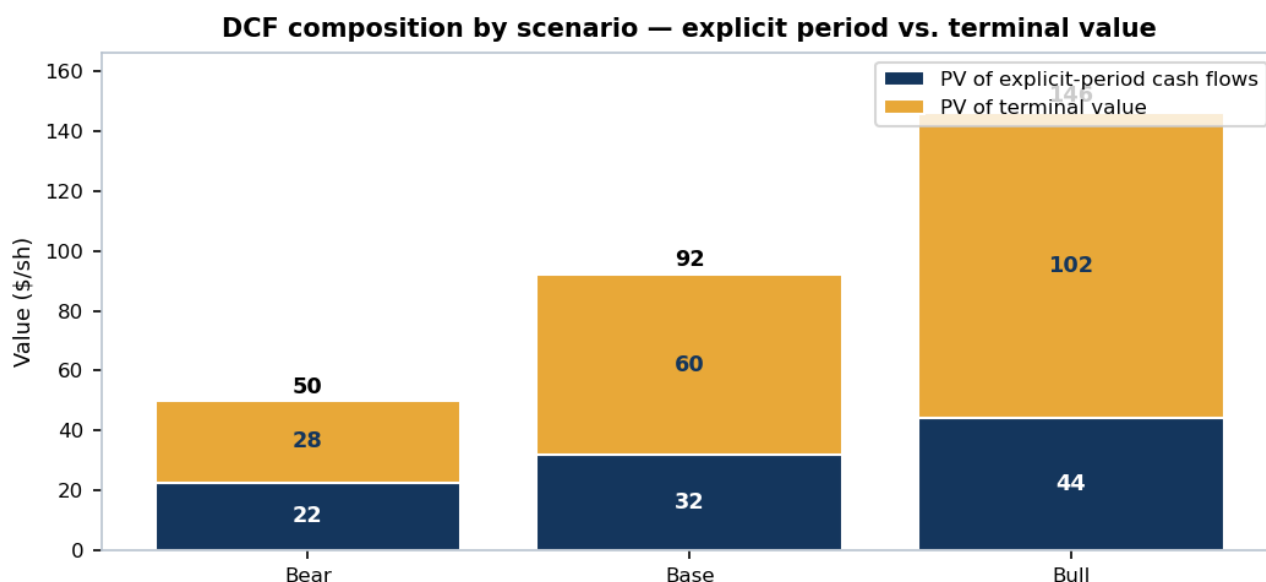
Scenario fair values: bear \$50 (franchise erosion, margin contraction — revoking the compounder qualification), base \$92 (high-single-digit growth led by pain and dermatology, margins sustained), bull \$146 (faster Librela/Solensia adoption, pipeline launches). Probability-weighted: \$95.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Dermatology share losses accelerate; Librela adoption stalls on safety/efficacy concerns; livestock cyclical turns; ROIC/margin triggers revoke compounder terms	+4%	24%	11.0% / 2.5%	55%	\$50.00
Base	High-single-digit revenue growth led by the pain franchise and dermatology; margins sustained near demonstrated levels; pipeline extends the runway	+8%	30%	8.5% / 3.0%	65%	\$92.00
Bull	Faster Librela/Solensia adoption; successful pipeline launches from the antibody platform; livestock tailwinds	+12%	34%	8.0% / 3.0%	70%	\$146.00
Wtd. avg	Probability-weighted (25/50/25) → \$95.00 target					\$95.00

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Franchise concentration.** Dermatology and pain products are a large share of growth; competition or safety issues there hit disproportionately.
- **Librela adoption.** Slower-than-expected uptake or emerging safety signals would impair the key growth driver.
- **Livestock cyclical.** Protein-price downturns and disease outbreaks affect the livestock segment quickly.
- **Generic and biosimilar pressure.** Key products will eventually face competition; timing and severity are uncertain.
- **Pricing scrutiny.** Sustained high price increases could invite regulatory or retailer pushback.
- **Pipeline failure.** The long-horizon thesis depends on continued R&D productivity; a dry spell would eventually show in growth.

What would change our mind

Downgrade to HOLD if ROIC falls below 15% for two consecutive years or gross margin contracts 200bp or more on a sustained basis — either revokes the compounder qualification and forces a full valuation reset to standard terms. Separately, Librela/Solensia revenue declining year over year would break the pain-franchise growth thesis, and FCF conversion falling durably below 80% would signal the cash-compounding economics are deteriorating.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.